

**Discussion of
Rapacity or Opportunity Cost?
Mineral Price Shocks and Social Conflict in Peru**

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This paper

- Asks whether mineral-price booms raise or reduce mining-related conflict in Peru.
- Combines world prices with pre-period mining exposure in 111 districts.
- Uses monthly conflict data and district and month fixed effects.
- Reports positive gold and copper effects, but a negative effect in illegal-mining districts.
- Interprets the pattern through rapacity versus opportunity cost.

Main question: do resource booms create local opportunity or contestable rents?

Comment 1: Exposure Definition

- What exactly are the exposure shares s_{im} ?
 - ✓ Is the numerator production or employment?
 - ✓ What is the denominator?
- It would be useful to observe some additional descriptives around the exposure
 - ✓ Exposure maps (e.g. could some few districts drive the estimates?)
 - ✓ Distribution
 - ✓ Cross-mineral correlations

Comment 2: Regression and Identification

- Month FE absorb p_t^m ; district FE absorb s_i^m .
- Thus β_m identification comes from asking: Do high-exposure districts change conflict differently when the price of m moves?
- This is not exactly the canonical Bartik shock $\sum_m s_i^m g_t^m$. Instead the regression purposely separates three minerals additively.
- It seems to me that the main threat are exposure-specific omitted shocks that could potentially co-move with prices.
 - ✓ Perhaps a regional (e.g. province) by year FE component could strengthen the case that things are indeed exogenous.

Comment 3: Mechanisms

- Formal vs illegal heterogeneity is **consistent** with the mechanisms; but does not isolate channels.
- **Rapacity**: test whether prices move rents, canon transfers, bargaining demands.
- **Opportunity cost**: test whether prices move employment, wages, hours, or local spending first.
- An additional and perhaps more transparent specification would be to interact mining structure with the mineral-specific shocks and test for coefficient differences.

- A bit more clarification on how exposure is constructed and its scale (denominator).
- Perhaps identification should be reframed as not being a canonical shift-share approach.
- The design could be strengthened by also controlling for province-year FE.
- Discipline the mechanisms/channels by looking at other outcomes that can help us build the full story.